

Business Ethics and Corporate Governance

Week 6: Introducing Corporate Governance

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Intended Learning Outcomes

- Define corporate governance and explain its significance to the accountancy profession.
- Compare and contrast six foundational governance theories.
- Trace the evolution of UK governance regulation from Cadbury (1992) to the 2024 Code.
- Evaluate the accountant's role as a governance gatekeeper through audit and assurance.
- Analyse major corporate governance failures and their implications.



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Definition of Corporate Governance

Corporate governance is defined the way in which a business is directed and controlled by its management. When an organisation has a strong system of corporate governance, it provides more credibility to the business financial statements. This is because it shows the commitment to strong internal control procedures (Gray at al, 2024).



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Why does this matter to accountants?



Public interest duty

Professional bodies define accountants as serving the public interest, not just clients.



Audit as governance mechanism

External audit exists because of the separation of ownership and control. It is a governance function at its core.



Financial Reporting integrity

Accountants prepare the information on which governance decisions are made. Accuracy is a governance act.



When Governance fails

Every major corporate scandal (Enron, Carillion, BHS) had accounting and audit failures at its centre.



Part 1

Theories related to Corporate Governance



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Theories on Corporate Governance

- Agency Theory (Jensen and Meckling, 1976)
- Stewardship Theory (Donaldson and Davis, 1991)
- Stakeholder Theory (Freeman, 1984)
- Resource Dependence Theory (Pfeffer and Salancik, 1978)
- Transaction Cost Economics (Williamson, 1975, 1985)
- Institutional Theory (DiMaggio and Powell, 1983)



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Agency theory

Jensen and Meckling (1976) | Fama and Jensen (1983)

Core idea:

When ownership (principals/shareholders) is separated from control (agents/managers), managers may pursue their own interests rather than maximising shareholder value. This creates agency costs: monitoring costs, bonding costs, and residual losses.

Application to accountancy

External audit is the primary mechanism for reducing agency costs. Auditors independently verify financial statements, bridging the information gap between shareholders and management.

Key insight:

Auditors are themselves agents appointed to serve shareholders but often selected and paid by management. This creates a secondary agency problem central to understanding audit failures.



Stewardship theory

Donaldson and Davis (1991) | Davis, Schoorman and Donaldson (1997)

Agency view:

- Managers are self-interested.
- Need monitoring and control.
- Separate CEO/Chair roles.
- Extrinsic motivation (pay/penalties).

Stewardship view:

- Managers are intrinsically motivated.
- Empowerment outperforms control.
- CEO duality can be effective.
- Trust-based, collaborative governance.



Accounting link: The IASB Conceptual Framework explicitly includes stewardship as a key objective of financial reporting. Assessing how effectively management has discharged its responsibility over resources.



Stakeholder theory and resource dependency theory

Stakeholder theory

Freeman (1984); Donaldson and Preston (1995)

Governance must consider all parties who 'can affect or are affected by' the organisation: employees, customers, suppliers, communities, regulators.

Three dimensions:

- Descriptive: what firms do
- Instrumental: stakeholder focus improves performance
- Normative : stakeholders have moral claims



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Resource dependency theory

Pfeffer and Salancik (1978)

Boards link organisations to critical external resources: capital, expertise, legitimacy, and networks.

Directors are appointed not just to monitor but to bring connections and capabilities the firm needs.

93%

of FTSE 100 boards include at least one
Is a Chartered Accountant

Transaction cost economics and institutional theory

Transaction cost economics

Williamson (1975, 1985)

Governance structures exist to minimise transaction costs under conditions of bounded rationality and opportunism.

Asset specificity: when investments are relationship-specific it creates lock-in and vulnerability.

Audit application: Long audit tenure creates client-specific knowledge that makes switching costly explaining mandatory audit firm rotation policies.



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Resource dependency theory

DiMaggio and Powell (1983)

Three mechanisms of isomorphism explain why governance practices converge:

- Coercive: Regulatory mandates (Companies Act, IFRS adoption).
- Mimetic: Copying best practice (spread of Cadbury-style codes globally).
- Normative: Professional training

Also explains decoupling! Formal governance structures adopted for legitimacy while actual practices diverge.

Part 2

The UK Corporate Governance Code



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The foundational reports (1992–1998)

1992

Cadbury Report

Prompted by Polly Peck, BCCI, Maxwell. Introduced 'comply or explain'. Recommended separating CEO/Chair, audit committees, independent NEDs.

1995

Greenbury Report

Addressed excessive executive pay in privatised utilities. Required remuneration committees of NEDs and full individual pay disclosure.

1998

Hampel Report

Reviewed predecessors. Introduced the distinction between broad Principles and specific Provisions. Led to the Combined Code.



Post-Enron reforms (1999–2003)

- **Turnbull (1999):** Internal control and risk management guidance. Directors must detail control systems and review effectiveness. Commissioned by ICAEW.
- **Smith (2003):** Audit committee standards: min. 3 independent NEDs, at least one with recent and relevant financial experience. Oversight of external audit, risk, and whistleblowing.
- **Higgs (2003):** Strengthened NEDs: at least half the board should be independent. Created Senior Independent Director role.



The UK Corporate Governance Code

- 1 Board Leadership and Company Purpose
- 2 Division of Responsibilities
- 3 Composition, Succession and Evaluation
- 4 Audit, Risk and Internal Control
- 5 Remuneration

Provision 29

Effective 1 January 2026

- Monitor risk management and internal control frameworks.
- Conduct annual effectiveness reviews of all material controls.
- Declare effectiveness in the annual report.

The FRC to ARGA transition — recommended by the Kingman Review (2018) — has been paused. As of January 2026, audit reform legislation will not proceed during the current parliamentary session.



International Comparison

	UK Corporate Governance Code	Sarbanes Oxley Act (US)	G20/OECD Principles
Approach	Principles-based 'Comply or explain'	Rules-based Mandatory compliance	Global benchmark Non-binding principles
Enforcement	FRC / Listing Rules Market discipline.	SEC / PCAOB Criminal penalties	National adoption varies by country
Internal Controls	Provision 29: Board declares effectiveness.	Section 404: External auditor must attest	Recommends robust risk management
Auditor Role	Review going concern and viability statements.	CEO/CFO certification + auditor attestation	Independent, quality audit emphasised
Sustainability	Growing ESG focus ISSB adoption pending	SEC climate rules (contested)	New chapter on sustainability (2023)



Part 3

The accountant as government gatekeepers



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The audit function in corporate governance

External Audit

- Independent verification that financial statements give a 'true and fair view' (Companies Act 2006)
- Reduces agency costs by bridging the information gap between shareholders and management
- Reviews directors' going concern and viability statements under the Code
- Must 'stand back' and consider whether accounts present fairly (FRC guidance.

Internal Audit

- Provides independent assurance on risk management, internal controls, and governance from within
- Central to Provision 29. Supporting the board's annual declaration on material control effectiveness
- Can detect fraud that external audit misses demonstrated powerfully in the WorldCom case
- Reports to the audit committee, maintaining independence from management



Audit Committees: The governance nexus

Composition (UK CGC + FRC Minimum Standard)

- At least 3 independent non-executive directors (FTSE 350)
- At least one with recent and relevant financial experience
- Independent of management who reports to the full board

Responsibilities

- Monitor financial statement integrity
- Review internal controls and risk management
- Oversee internal audit function
- Recommend external auditor appointment
- Develop non-audit services policy
- Establish whistleblower procedures

The audit committee sits at the intersection of external audit, internal audit, and board governance making it the single most important governance mechanism for the accountancy profession.



Part 4

When governance fails



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Enron, WorldCom and Parmalat

Enron (2001)

\$27bn

hidden debt

3,000+ off-balance-sheet SPEs. Arthur Andersen served as auditor AND consultant. Document shredding. Big Five became Big Four.

WorldCom (2002)

\$11bn

fraud

Capitalised operating expenses as capex. Internal auditor Cynthia Cooper uncovered the fraud. TIME Person of the Year 2002.

Parmalat (2003)

€14bn

accounting hole

Forged Bank of America letter for €3.95bn. Circumvented Italy's audit rotation law through restructuring.



UK Governance Failures

- **Carillion (2018):** £7bn liabilities, £29m cash. KPMG auditor for 19 years. FRC fined KPMG £21m. Triggered Kingman, CMA, and Brydon reviews.
- **BHS (2016):** £1.2bn dividends extracted. £571m pension deficit. PwC partner spent 2 hours on audit. 15-year ban.
- **Patisserie Valerie (2018):** £94m fraud with fictitious cash. 'Amateurish' forgeries missed across three consecutive Grant Thornton audits.
- **Thomas Cook (2019):** £1.7bn debt. EY used Thomas Cook's own forecasts at 6x independent forecasts for going concern. Familiarity threat.



Five lessons from Corporate Governance failures

- **Compromised Independence:** Dual audit/consulting, excessive tenure, fee dependence, social relationships with management.
- **Failure of Professional Scepticism:** Auditors accepted management representations without sufficient challenge.
- **Long Audit Tenure:** 19 years at Carillion, 12 at Patisserie Valerie: familiarity bred complacency
- **Board ineffectiveness:** Dominant individuals (Tanzi, Ebbers, Green) or passive non-executive directors.
- **The Audit Expectations Gap:** Public expects fraud detection; profession offers 'reasonable assurance'.



Reading list

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